



Figure 63.1 The three rising valleys chart pattern.

Identification Guidelines

Figure 63.2 shows another example of the three rising valleys chart pattern. This one occurs well into the upward price trend, and there are others not shown in the figure that occurred earlier. Points 1, 2, and 3 mark the three valleys (all of them minor lows). Each valley is above the prior one. Their shape is also similar—wide in this example, not narrow like the cluster in June (point A and to the right, for the next 3 weeks or so).

The chart pattern confirms when price closes above the highest high in the pattern. I show the confirmation line on the chart. In this example, price throws back a few days after the breakout and then continues climbing until peaking in September. That peak marks the ultimate high for a rise of 34% in bear markets. That's quite good.

Figure 63.3 shows what a three rising valleys pattern (1, 2, 3) looks like in a downtrend. The pattern appears at the end of a measured move down chart